

Presidential Approval in Crisis: The Role of Economic Indicators and Scandals in Yoon Suk-yeol's Administration

by YOON SUYEON

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Department of Political Science and International Relations

Incheon National University

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1. Introduction

The Yoon Suk-yeol administration reached a critical turning point in December 2024, following the declaration of martial law on December 3. Public approval ratings, which had been steadily declining throughout his term, plummeted to 11% in the second week of December. With an average approval rating of just 31% during his presidency, the Yoon administration has faced persistent challenges in maintaining public support.

Presidential approval ratings are more than mere numbers; they reflect citizens' evaluations of governmental performance and serve as a critical mechanism through which democratic accountability operates. As such, the determinants of presidential approval ratings have been a central topic of political and social research. Among these determinants, economic indicators, such as inflation and unemployment rates, have been extensively analyzed due to their strong correlation with public support. Similarly, political events, particularly scandals, have shown to significantly influence approval ratings.

The Yoon Suk-yeol administration provides a unique and compelling case for examining these factors. During his tenure, the administration has been characterized by a series of scandals, both public and private, ranging from controversies involving the president's associates to broader governance issues. Simultaneously, South Korea's economic indicators—such as the Consumer

Price Index (CPI), unemployment rate, and KOSPI—have reflected a declining trend, signaling economic instability. These concurrent political and economic challenges present an opportunity to analyze how the interplay between economic performance and scandals affects public approval ratings.

This study aims to achieve two key objectives. First, it seeks to identify the independent effects of economic indicators and scandals on presidential approval. Second, it explores whether scandals moderate the impact of economic factors on public support. By employing both baseline regression models and interaction analysis, this research provides a comprehensive understanding of how these dynamics unfold during times of political and economic turbulence. In doing so, it contributes to the broader discourse on democratic accountability and governance, offering valuable insights into the complex relationships between political leadership, economic performance, and public trust.

2. Literature Review

2.1 Economic Determinants and Presidential Approval: Economic Voting Theory

Economic determinants have been a cornerstone of studies on presidential approval ratings. The economic voting theory posits that voters assess political leaders based on economic conditions, thereby influencing approval ratings. This theory distinguishes between two key mechanisms: egocentric voting, where individuals evaluate personal economic conditions, and sociotropic voting, where judgments are made based on national economic performance (Kinder & Kiewiet, 1981). Research overwhelmingly supports the dominance of sociotropic over egocentric evaluations, with national indicators such as unemployment rates, inflation, and GDP growth consistently correlating with presidential popularity.

Norpoth (1996) emphasizes the significance of retrospective voting, arguing that voters primarily rely on past economic performance to evaluate leaders, as future economic expectations are often shaped by political interventions and thus less reliable. This is echoed by Mueller (1970), who demonstrates that negative economic developments, such as rising unemployment or inflation, sharply decrease approval, while positive outcomes yield more muted effects. Such asymmetry reveals a greater sensitivity to economic downturns than to recoveries in shaping public opinion.

Furthermore, Lewis-Beck and Stegmaier (2000) underscore the role of subjective economic perceptions over objective data, suggesting that public sentiment about economic well-being often outweighs statistical measures. This aligns with the sociotropic voting hypothesis, where perceptions of the broader national economy play a critical role. Berlemann and Enkelmann (2014) expand on this by analyzing the variability of these relationships across time periods and contexts. Their findings suggest that while unemployment and inflation consistently influence approval, their relative impact is contingent on specific political and economic conditions.

Economic voting theory has also been examined in the context of crises. For instance, during the global financial crisis, voters disproportionately punished incumbent administrations for deteriorating economic conditions, further validating the theory's premise (Lewis-Beck & Nadeau, 2011). In contrast, rally effects during periods of national emergencies, such as wars, can temporarily override economic dissatisfaction, suggesting a dynamic interplay between economics and other contextual factors (Mueller, 1970).

In the South Korean context, studies highlight the heightened significance of economic performance due to the public's sensitivity to issues like employment and cost of living (Park & Shin, 2015). The Yoon Suk-yeol administration, marked by declining economic indicators such as inflation and unemployment, provides a compelling case to apply these theories and assess how

economic performance interacts with political events, particularly scandals, to shape approval dynamics.

2.2 The Impact of Scandals and Political Events on Approval Ratings

Scandals and political events are pivotal factors influencing presidential approval ratings. Mueller (1970) was among the first to highlight how scandals and crises can erode public trust, leading to substantial declines in approval ratings. His analysis emphasized that both domestic and international crises, such as scandals involving corruption or abuse of power, undermine a president's legitimacy and authority.

Kernell (1978) categorized scandals into public and private dimensions, analyzing their differential impacts on approval ratings. He argued that public scandals, particularly those involving misuse of public office, tend to exert a stronger negative effect on approval compared to private scandals. These findings align with later studies, such as Basinger and Rottinghaus (2012), which examined modern presidential scandals, including Watergate, Iran-Contra, and the Monica Lewinsky affair. Their research demonstrated that public scandals often trigger significant declines in approval, with the Watergate scandal serving as a prominent example where trust in governance collapsed, ultimately leading to Nixon's resignation.

Conversely, Shah et al. (2002) analyzed the Monica Lewinsky scandal during the Clinton administration, arguing that private scandals may not always have a severe impact. In Clinton's case, the booming economy mitigated the potential damage of the scandal, demonstrating the interplay between economic performance and scandal effects. This aligns with Ostrom and Simon's (1985) model, which suggests that scandals' impacts on approval are moderated by contextual factors, such as economic conditions and the nature of the scandal.

In summary, scandals and political events significantly affect presidential approval, but their

impacts vary based on their nature and the surrounding context. Public scandals involving governance undermine trust and cause greater declines in approval, whereas private scandals may have limited effects, particularly when offset by strong economic performance (Basinger and Rottinghaus, 2012; Shah et al., 2002).

2.3 Unique Context of the Yoon Suk-yeol Administration

The Yoon Suk-yeol administration offers a unique and critical case for studying the dynamics of presidential approval in South Korea. Marked by political turbulence and economic challenges, Yoon's presidency has been characterized by significant public discontent, reflected in record-low approval ratings. The interplay between scandals, political events, and economic performance during his tenure creates a distinct context for analyzing approval dynamics.

First, Yoon's presidency has been marred by numerous public and private scandals. Public scandals such as controversies over policy decisions and allegations of favoritism in government appointments have eroded trust in governance. Simultaneously, private scandals, including issues related to First Lady Kim Keon-hee, have fueled media scrutiny and amplified public criticism. These scandals have not only dominated headlines but also polarized public opinion, creating a highly contentious political environment.

Second, the economic performance during Yoon's administration has been marked by stagnation and growing public dissatisfaction. Rising inflation, persistent unemployment, and declining consumer confidence have compounded citizens' frustrations. Key economic indicators, such as the Consumer Price Index (CPI) and unemployment rate, reflect a challenging economic climate that has likely exacerbated public discontent with the administration.

Third, the administration has faced unprecedented political crises, including the declaration of martial law in December 2024. This event, perceived as a drastic and controversial move,

significantly undermined public trust and led to a sharp decline in approval ratings. The combination of political instability and economic stagnation highlights the multifaceted challenges faced by the Yoon administration.

In this study, the unique characteristics of Yoon's presidency provide a valuable lens through which to examine the interaction between scandals, economic performance, and public approval. By analyzing how these factors collectively shape approval ratings, this research contributes to a deeper understanding of the mechanisms driving public opinion in politically and economically turbulent times.

3. Research Design

3.1 Variable Definitions and Hypotheses

This study aims to analyze the key factors influencing presidential approval ratings during the Yoon Suk-yeol administration from May 2022 to November 2024. Presidential approval ratings serve as a critical measure of public evaluation of governance, reflecting the dynamic interaction between economic performance and scandals. In this study, the dependent variable is presidential approval ratings, while the independent variables are divided into economic indicators and scandals.

The economic indicators include the Consumer Price Index (CPI), unemployment rate, KOSPI, interest rate, and the Consumer Sentiment Index (CCSI). These indicators are key predictors of presidential approval ratings, selected based on the literature on economic voting theory. They are designed to reflect both objective economic conditions and subjective economic perceptions.

Scandals are introduced as both independent and moderating variables, capturing their significant role in shaping public opinion. Scandals are categorized into two dimensions: presence (scandal presence) and type (scandal type: public vs. private). Scandal presence is coded as a binary

variable indicating whether a major political event or controversy occurred during a specific period. Scandal type is further classified into public scandals, such as policy failures or diplomatic blunders, and private scandals, which involve personal or familial controversies.

During the Yoon Suk-yeol administration, scandals occurred frequently, often overlapping within the same timeframe, creating complex influences on public opinion. Therefore, this study identifies major scandals based on their impact and influence, using criteria such as social and political repercussions, high public attention, and their potential effects on approval ratings.

However, some policy conflicts, such as legislative disputes, were excluded from the major scandals despite their significant and long-term impacts. This is due to the difficulty in determining their conclusion points. The primary goal of this study is to analyze the fluctuations in approval ratings within specific timeframes. Including issues with uncertain duration could disrupt the consistency of the time-series analysis.

Table 1. List of Major Scandals

Scandal Name	Start Date	End Date	Type	Inclusion Criteria
Kim Keon-hee Controversy	2022-06	2022-08	Private	Criticism for allegations of stock manipulation and past career controversies.
Diplomatic Blunder	2022-09	2022-10	Public	International and domestic backlash over “Biden expletive remark.”
Martial Law Proposal	2022-12	2023-01	Public	Mention of military measures led to a decline in public trust
Labor Policy Failure	2023-03	2023-05	Public	Public backlash and labor conflicts over the 69-hour workweek controversy.

Korea-Japan Summit Issues	2023-03	2023-04	Public	Negative public opinion over forced labor reparations worsened approval ratings.
Martial Law Declaration	2024-12	2024-12	Public	Domestic and international outcry over the state of emergency declaration.

Hypotheses

H1: Economic performance significantly influences presidential approval ratings. Positive economic indicators, such as lower CPI, reduced unemployment, and higher KOSPI, are expected to correlate with higher approval ratings.

H2: Scandals negatively affect presidential approval ratings. The presence of scandals, whether public or private, is hypothesized to reduce approval ratings.

H3: Scandals moderate the relationship between economic performance and approval ratings.

- Public scandals amplify the negative impact of poor economic performance on approval ratings.
- Private scandals have a weaker moderating effect when economic performance remains strong.

These variable definitions and hypotheses lay the groundwork for the subsequent analysis. The study employs regression models and interaction effect analysis to empirically test these hypotheses, thereby contributing to a deeper understanding of the factors influencing presidential approval during politically and economically volatile times.

3.2 Methodology

The approval rating data used in this study was sourced from Gallup Korea's weekly surveys and aggregated into monthly averages. Economic indicators, including the Consumer Price Index (CPI), unemployment rate, KOSPI, interest rate, and the Consumer Sentiment Index (CCSI), were collected on a monthly basis from the National Statistical Portal (KOSIS), the Bank of Korea, and financial databases. Scandal data was coded for both the presence and type of scandals using the BigKinds news database and records of major political events.

The data for December 2024 received special attention in this study. The declaration of martial law on December 3, 2024, was a significant political event and was therefore crucial for the analysis of scandal presence and approval ratings. Accordingly, an analysis was conducted using approval rating data from the first and second weeks of December 2024 alongside scandal-related information concerning the martial law declaration. However, economic indicators such as CPI, unemployment rate, interest rate, and CCSI were not yet available for this period, so the analysis was conducted based on data up to November 2024.

To analyze the effects of economic factors and scandals on presidential approval ratings, this study employed multiple regression models. These models were designed to examine both the individual effects of economic indicators and scandals, as well as the interaction between these two factors. The models used in this study are summarized in the table below.

Table 2. Regression Models: Variables and Characteristics

Model	Description
Model 1	Baseline regression model: Includes only economic factors (CPI, unemployment rate, KOSPI, interest rate, CCSI).
Model 2	Model 1 + Scandal presence (<i>scandal_presence</i>): Adds the independent effect of scandal presence on approval ratings.
Model 3	Model 2 + Interaction terms (economic factors $\times$ scandal presence): Examines whether scandal presence moderates the effects of economic factors.
Model 4	Model 1 + Scandal type (<i>scandal_type</i>): Adds the independent effect of scandal type (public vs. private) on approval ratings.
Model 5	Model 4 + Interaction terms (economic factors $\times$ scandal type): Examines whether scandal type moderates the effects of economic factors.

This analysis aims to identify the complex interplay between economic performance and scandals in shaping presidential approval ratings. Data cleaning and regression analysis were conducted using R, and the key results were visualized through graphs and tables to support the study's conclusions.

4. Results

4.1 Descriptive Statistics

This study analyzes the changes in presidential approval ratings and economic indicators from May 2022 to November 2024 during the Yoon Suk-yeol administration. Table 2 presents the descriptive statistics for the key variables.

Table 3. Descriptive Statistics of Variables (2022.05 ~ 2024.11)

Variable	Min	Max	Mean	SD
Presidential Approval Rate	17.5	52.5	31.8	9.6
Consumer Price Index (CPI)	107.5	114.69	111.82	2.41
Unemployment Rate	1.9	3.7	2.79	0.57
KOSPI	2,155.49	2,797.82	2,533.68	193.71
Interest Rate	1.75	3.5	3.15	0.45
Consumer Confidence Index (CCSI)	90.4	107.2	94.2	4.5

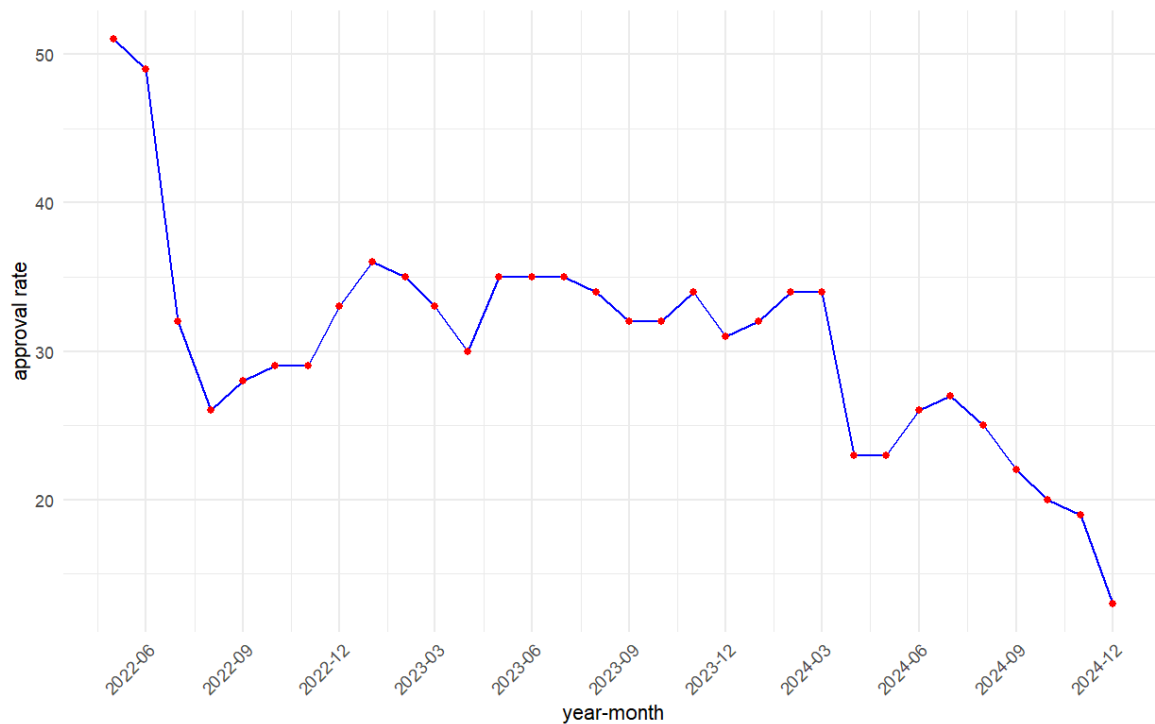
Presidential approval ratings declined from a high of 52.5% at the start of the administration to a low of 17.5%, with an average approval rating of 31.8%. This trend suggests a weakening of public trust driven by both economic instability and repeated political scandals. The Consumer Price Index (CPI) increased steadily from 107.5 to 114.69, with an average of 111.82, reflecting rising inflationary pressures that increased the financial burden on citizens.

The unemployment rate ranged between 1.9% and 3.7%, with an average of 2.79%, highlighting labor market fluctuations that may have negatively impacted public sentiment. The KOSPI index, reflecting stock market performance, ranged from 2,155.49 to 2,797.82 with an average of 2,533.68, demonstrating economic volatility in domestic and international markets.

The interest rate increased steadily as part of monetary policy to control inflation, rising from 1.75% to 3.5%, with an average of 3.15%. Rising interest rates likely contributed to reduced consumption and investment. Finally, the Consumer Confidence Index (CCSI), a measure of public

economic sentiment, ranged from 90.4 to 107.2, with an average of 94.2. This reflects predominantly pessimistic economic perceptions during the study period.

Figure 1. Changes in Presidential Approval Ratings



The initial approval rate began at 51% but fell sharply to 26% by August 2022. During the first half of 2023, the approval ratings showed a slight recovery, stabilizing in the mid-30% range. However, a renewed decline emerged throughout 2024. Notably, in December 2024, the declaration of martial law and other significant political events contributed to a further drop, with approval ratings reaching a record low of 11%. These trends reflect the combined effects of economic factors and major political events at specific points in time.

The descriptive statistics and approval rate trends indicate that presidential approval is significantly influenced by the combined effects of economic performance and political scandals. In the subsequent section, regression analysis will provide a more precise examination of the

relative impacts and interaction effects of these factors.

4.2 Regression Analysis: Key Findings

This study employed multiple regression analysis to examine the effects of economic factors and scandals on presidential approval ratings, as well as their interaction effects. The results are summarized as follows (Table 4).

Table 4. Regression Results Summary

Variable	Model 1	Model 2	Model 3	Model 4	Model 5
(Intercept)	67.85 (107.60)	138.99 (104.84)	169.50 (102.20)	-302.50 (359.20)	3940.00 (1277.00)
cpi	-1.48 (0.71)*	-1.64 (0.66)*	-1.37 (0.85)	0.42 (2.43)	-36.63 (11.06)*
unemployment_rate	5.25 (2.25)*	5.19 (2.09)*	2.54 (2.17)	16.83 (4.43)*	12.06 (5.51)
kospi	-0.0003 (0.0098)	-0.0053 (0.0094)	-0.0106 (0.0106)	-0.0066 (0.042)	0.0246 (0.0293)
interest_rate	4.62 (4.71)	1.73 (4.56)	-3.26 (6.89)	7.40 (16.68)	-1.14 (12.29)
ccsi	1.06 (0.67)	0.76 (0.64)	0.51 (0.73)	2.47 (1.58)	-0.18 (1.24)
scandal_presence		-5.19 (2.33)*	-486.70 (245.60)		
cpi × scandal_presence/type			1.90 (1.47)		33.75 (9.95)*
unemployment_rate × scandal_presence/type			14.39 (4.68)**		-7.53 (6.70)
scandal_type				0.75 (14.89)	-3641.00 (1076.00)*

*p < .10 ** p < .05 *** p < .01

Model 1 included only economic factors and revealed that the Consumer Price Index (CPI) and unemployment rate significantly influenced approval ratings. CPI had a negative effect, indicating that rising inflation increases economic insecurity among citizens, leading to a decline in approval ratings. Conversely, the unemployment rate showed a positive effect, suggesting that rising unemployment might be perceived as an opportunity for government action or policy framing, which could generate positive responses from the public.

Model 2 incorporated the presence of scandals and showed that scandals had a significant negative impact on approval ratings. This finding highlights that the occurrence of scandals undermines public trust in political leadership, further eroding support. The significance of CPI and the unemployment rate remained consistent, emphasizing the enduring importance of economic performance even in the presence of political scandals.

Model 3 examined the interaction effects between economic factors and the presence of scandals. The interaction term between the unemployment rate and scandal presence showed a significant positive value, suggesting that during periods of scandal, rising unemployment may paradoxically contribute to mitigating the scandals' negative impact. This could be attributed to unemployment issues diverting public attention or being politically framed as requiring immediate government action. In contrast, the interaction between CPI and scandal presence was not significant, indicating that economic performance does not necessarily amplify the negative effects of scandals.

Model 4 introduced scandal types, differentiating between public and private scandals. The results showed that the type of scandal did not have a statistically significant effect on approval ratings. However, the unemployment rate maintained its positive influence, consistent with previous models. This suggests that economic factors operate independently of scandal types, reflecting their persistent role in shaping public evaluations of leadership.

Model 5 analyzed the interaction between economic factors and scandal types. CPI had a strongly negative effect on approval ratings, reinforcing its status as a critical determinant of public

support. Interestingly, the interaction between CPI and scandal type revealed that public scandals appeared to reduce the adverse effects of rising inflation. This indicates that during public scandals, citizens may shift their focus away from economic conditions, leading to a moderation of the negative impact of inflation on approval ratings. The interaction between the unemployment rate and scandal type was not significant, although the presence of public scandals remained structurally detrimental to approval ratings overall.

Therefore, the findings of this study demonstrate that economic performance and political scandals collectively influence presidential approval ratings in a complex manner. The Consumer Price Index (CPI) had a negative impact on approval ratings, while the effect of unemployment rates varied depending on the presence of scandals. Scandals themselves acted as a factor that reduced approval ratings; however, public scandals showed a moderating effect by partially mitigating the negative impact of inflation. In contrast, private scandals did not produce significant interaction effects with economic performance. These results suggest that economic factors and political events operate independently while also interacting to play a critical role in shaping fluctuations in approval ratings.

5. Conclusion

This study analyzed the impact of economic performance and political scandals on presidential approval ratings during the Yoon Suk-yeol administration, spanning from May 2022 to November 2024. The findings revealed that both economic indicators and scandals independently influenced presidential approval ratings and that their interaction could amplify or mitigate these effects.

First, the hypothesis that economic performance significantly influences presidential approval ratings (H1) was partially supported. The Consumer Price Index (CPI) negatively impacted approval ratings, suggesting that inflation heightened economic anxiety and eroded trust in the

government. On the other hand, unemployment showed a positive association with approval ratings as an independent variable, indicating that active governmental policy responses during periods of rising unemployment partially restored public trust. The Yoon administration's efforts to implement large-scale public projects aimed at youth employment and regional economic revitalization appear to have maintained support from certain constituencies.

Second, the hypothesis that scandals negatively affect presidential approval ratings (H2) was confirmed. Scandal presence was a critical factor in reducing approval ratings, with public scandals having a more significant negative impact than private scandals. During the Yoon administration, major failures in housing policies and diplomatic missteps on the international stage intensified public criticism, particularly when combined with economic dissatisfaction. In contrast, private scandals had a relatively limited impact, likely because they were perceived more as moral issues than as matters of policy judgment.

Third, the hypothesis that scandals moderate the relationship between economic performance and approval ratings (H3) was partially supported. The interaction between unemployment and scandal presence showed a positive relationship, suggesting that scandals could shift public attention from economic challenges to political controversies, thereby diffusing criticism of economic performance. Conversely, the interaction between CPI and public scandals demonstrated a positive relationship, indicating that public scandals might alleviate some of the negative effects of inflation on approval ratings. This could suggest that during the Yoon administration, public dissatisfaction with economic issues like rising housing prices and inflation may have been redirected toward broader political grievances fueled by public scandals.

The unique context of the Yoon Suk-yeol administration provides further clarity to these findings. From the outset of his term, frequent public scandals and economic instability steadily eroded public trust. Public scandals, particularly those tied to policy failures and diplomatic

controversies, combined with economic challenges to exert a greater negative influence on approval ratings. Meanwhile, private scandals, perceived as individual matters, had a more limited impact, highlighting the public's heightened sensitivity to structural issues reflected in public scandals.

In conclusion, this study underscores that presidential approval ratings are not solely determined by economic performance but are shaped by the interaction of economic conditions and political events. The findings contribute to a deeper understanding of how the complex interplay between economic indicators and scandals influences public attitudes and evaluations. Future research should delve into the sociocultural context of scandals, media framing, and shifts in public perception to further explore the multifaceted determinants of presidential approval trends.

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